# Zheyuan (Kevin) Cui

## Contact Information


**Email:** kevin.cui@princeton.edu **Phone:** +1 626-249-7175

**Website:** kevin-zheyuan-cui.github.io


## References


**Professor Motohiro Yogo** (Main Advisor)
Bendheim Center for Finance and
Department of Economics
Princeton University
myogo@princeton.edu

**Professor Wei Xiong**
Bendheim Center for Finance and
Department of Economics
Princeton University
wxiong@princeton.edu

**Professor Moritz Lenel**
Bendheim Center for Finance and
Department of Economics
Princeton University
lenel@princeton.edu


## Education

| | | |
|---|---|---|
| **2021 – 2027 (Expected)** | **Princeton University**<br>Ph.D. Candidate in Economics, Bendheim Center for Finance<br>Expected Graduation: May 2027 | Princeton, NJ, USA |
| **2019 – 2021** | **University of California – Los Angeles**<br>M.A. in Mathematics (Ph.D. Course Track) | Los Angeles, CA, USA |
| **2017 – 2021** | **University of California – Los Angeles**<br>B.S. in Applied Mathematics (Highest Honor), Economics (Highest Honor) | Los Angeles, CA, USA |

## Research Interests

Asset Pricing, Fixed Income, Financial Intermediary, AI & Productivity

## Job Market Paper

**Tax Heterogeneity, Duration Risk, and the Term Structure: An Application to the Municipal Bond Puzzle** [Link to Paper] [SSRN]


Abstract: I develop a term-structure model in which investors with heterogeneous taxes and balance sheets choose taxable and tax-exempt bonds jointly across maturities under short-sale constraints. Taxes and risk-bearing capacity endogenously segment bond ownership, making the tax rate embedded in yields vary with maturity. The literature benchmarks tax-exempt municipal bond yields against the after-tax taxable bond yields of top-bracket households, the highest-tax investors. The model explains the municipal bond puzzle: short-term municipal yields closely match this benchmark, but thirty-year yields exceed it by 118 basis points. Lower-tax investors with liabilities that offset interest-rate risk bear duration risk more cheaply, so they hold long

municipal bonds and long yields reflect their lower taxes. Without targeting municipal yields, the calibrated model explains 83 percent of this gap. Empirical tests confirm the model's prediction that household tax effects weaken with maturity while those of lower-tax investors strengthen.

## Publication

**The Effects of Generative AI on High-Skilled Work: Evidence from Three Field Experiments with Software Developers** *with Mert Demirer, Sonia Jaffe, Leon Musolff, Sida Peng, Tobias Salz.* [Link to Paper]

Coverage: *New York Times, 2025 Economic Report of the President*
***Management Science*, Forthcoming**

**Abstract:** This study evaluates the effect of generative AI on software developer productivity via randomized controlled trials at Microsoft, Accenture, and an anonymous Fortune 100 company. These field experiments, run by the companies as part of their ordinary course of business, provided a random subset of developers with access to an AI-based coding assistant suggesting intelligent code completions. Though each experiment is noisy and results vary across experiments, when data is combined across three experiments and 4,867 developers, our analysis reveals a 26.08% increase (SE: 10.3%) in completed tasks among developers using the AI tool. Notably, less experienced developers had higher adoption rates and greater productivity gains.

## Working Papers

**Familiarity in International Equity Investment: Concentrated Value, Pervasive Allocation Bias** *with Yinan Qiu. [Link to Paper]*

Abstract: Does familiarity convey information or produce bias? Using 2000–2024 data from 1,663 active U.S. international equity funds and managers' foreign education as a familiarity proxy, we examine both country allocation and stock selection. Funds overweight education-linked countries, yet these sub-portfolios do not outperform. Within familiar countries, the most active quartile of stocks earns a monthly five-factor alpha of 41 basis points, while the remaining holdings earn no significant alpha. The overweight persists after removing top-quartile stocks. Familiarity's value is concentrated, its allocation footprint pervasive: information and bias coexist at margins that country-level averages obscure.

**Public Debt Resolution and the Relocation of Local Information Rents: Evidence from Bank Wealth-Management Products in China** *with Tao Shen, Tianqi Zhi.*
*Draft available upon request*

Abstract: China's 2023 program to defuse local government debt risk had an unintended cost for small local banks, which compete with national banks in the RMB 30 trillion wealth-management market through local credit. Their products hold three times the portfolio share of local government financing vehicle (LGFV) bonds that national banks' products do, mostly from their home provinces, and these holdings deliver the higher returns and fewer losses that attract return-chasing investors. By moving LGFV risk onto provincial balance sheets, the program compressed credit spreads within and across provinces. The premium on home-province bonds fell by two-thirds, and local banks retreated. The premium largely survived in non-standard debt, negotiated claims with no public price, but only the largest local banks had the scale to move into it. De-risking public bonds relocated the return to local information into opaque claims that require scale, and the smallest banks lost most.

## Work in Progress

**Risk-Based Debt Regulation and the Reallocation of Local Government Borrowing**
*with Tao Shen, Wei Xiong, Tianqi Zhi.*

Abstract: Risk-based debt regulation limits borrowing according to repayment capacity, but the development commitments that create borrowing needs can persist. We study how this tension reallocates local government borrowing in China across regions and financing instruments, combining nonstandard debt disclosures, bond records and the financial statements of local government financing vehicles (LGFVs). Across regions, earlier development pressure predicts debt accumulation and later distress, and borrowing slows in high-risk jurisdictions after tightening. Borrowing continues in lower-risk regions, even as development assets absorb cash and repayment capacity weakens. Across instruments, LGFVs exposed to rating-based bond restrictions turn to costly nonstandard debt, such as trust and leasing loans, when existing obligations come due, and nonstandard reliance is greater where inventories and receivables absorb more cash. The 2023 debt-resolution program improved bond financing without a comparable improvement in nonstandard financing: between 2022 and 2024, the same borrower's nonstandard premium over its bonds widened by 176 basis points. Where direct resolution resources were larger, cumulative net borrowing and inventory accumulation were lower. These results suggest that regulating public credit risk changes where and how local governments borrow without resolving the cash needs behind that borrowing. A stable bond market can coexist with persistent, costly financing pressure outside it.

## Languages

Chinese (native), English (fluent)
*Last updated: Oct. 2026*